Finding Undervalued Stocks

A four-step screen for ideas the market has not priced yet

The Four Steps

Step 1 Bottlenecks in earnings calls. Find the company that cannot make enough of what it sells. A constraint is pricing power in disguise.

Step 2 CEOs buying their own stock. Open-market purchases only. Insiders sell for a hundred reasons and buy for one.

Step 3 Hedge funds and politicians buying. 13Fs, 13D/Gs and STOCK Act filings. You want clusters, never a single name.

Step 4 Disagreement on viral stocks. Heavy attention with a real bull and bear case means no consensus has formed yet.

Bottlenecks in Earnings Calls

Read the transcript, not the summary. Prepared remarks are marketing; the Q&A is where management slips. You are listening for a constraint on supply that the market still reads as a ceiling on revenue.

"We are capacity constrained through the end of next year."

"Backlog is up 40% and lead times have extended again."

"We are allocating product to our largest customers."

"Demand has not been our problem."

Then the second question: who owns the bottleneck — this company, or the supplier upstream nobody covers?

CEOs Buying Their Own Stock

Form 4, open-market purchases only. Option exercises, grants and vesting are compensation, not conviction.

Size against cash pay. A $2m buy on a $900k salary is a statement; a $25k buy is a press release.

Cluster buys — CFO, COO and two directors inside the same fortnight.

Purchases into a drawdown rather than into strength.

The first open-market buy by anyone at the company in three years or more.

The CFO buy is the strongest line on the form. Insiders sell for a dozen reasons. They buy for one.

Hedge Funds and Politicians Buying

13Fs land 45 days after quarter end, so the data is stale by construction — use it for the pattern, never the entry. 13D and 13G filings are faster and show who crossed 5%. Congressional trades disclose on a similar lag.

Several unrelated funds initiating the same position in the same quarter.

A concentrated manager sizing it at 5% or more of the book, not a quant shop holding 900 names.

A committee member buying in the industry that committee happens to oversee.

A 13F hides shorts, most options and everything outside US equities. The long you copy may be one leg of a trade you cannot see.

Disagreement on Viral Stocks

Consensus is already in the price. You want volume of attention with no settled view — a ticker X and Reddit are still arguing about, where both sides make checkable claims about the same facts.

Can you state the bear case in one sentence? Does it turn on a number you can go verify?

Are the bulls citing the filings, or a screenshot and an emoji?

Is the argument about the business, or about the chart?

A pump is different: every post is the same post, no bear anywhere. Disagreement is opportunity; unanimity is the exit.

Putting It Together

One signal is noise. Two is a reason to open the 10-K. A supply constraint, a cluster of insider buys and an unresolved argument is a starting point, not a thesis. Write the bull case and the bear case in a paragraph each before you size anything — if you cannot argue the other side, you do not understand the position. These are screens for generating candidates, not conclusions, and none of it is investment advice.

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